

THE POLITICAL ECONOMY OF CHINA

The Political Economy of Contemporary China's Banking System

Power, Institutions, and the Vault of the Party-State

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From the Barrel of a Gun — to the Vault of a Bank

"Political power grows out of the barrel of a gun."

— Mao Zedong —

PRE-1978

Power rested in coercion — military loyalty, political repression, and the monopoly on force under Mao's central planning.

POST-DENG (1978 → NOW)

Economic liberalization created a new power base. The CCP resolved this by extending control to the banking sector — political power now also grows from the vault of a bank.

Our Argument, Step by Step

01

Methodology

Chinese party-state capitalism + authoritarian institutionalization

02

Banking Facts

Structure, history, and two macro shocks shaping the system

03

Three Channels

Regulatory · Ownership · Personnel control

04

Three Dynamics

State vs Market · Intra-market · Intra-state tensions

05

Contribution

Extending Chinese party-state capitalism theory into banking

06

Conclusion

Absolute CCP control — an equilibrium, not a failure

Lens One: Chinese Party-State Capitalism

Primary
Theoretical
Foundation

Pearson, Rithmire & Tsai (2021)

Naughton & Tsai (2015)

A political-economic model where the party-state holds dominant economic agency while liberalized markets exist alongside pervasive intervention — distinct from ordinary state capitalism or the East Asian developmental state.

1. Party Encroachment

Party cells in private firms; golden shares (1% with veto power); Made in China 2025 industrial policies entrench CCP directives.

2. Blurred Public/Private

Private firms contribute 60/70/80/90 to the economy (GDP/innovation/urban employment/new jobs) yet must serve 'public missions' dictated by the CCP.

3. Political Loyalty

Firms must adhere to party-defined political correctness — silencing dissent and self-censorship under Xi Jinping since 2012.

Lens Two: Authoritarian Institutional- ization

Secondary
Analytical
Lens

Nathan (2003)

Pepinsky (2014)

Huntington (1965)

Institutions reflect power dynamics; institutionalization signals changing political equilibria — making authoritarian regimes resilient.

Authoritarian Resilience Theory

Institutions exist as equilibria, not merely rules. Key functions include: information gathering, co-optation, credible commitments, conflict resolution, signaling, minimizing future losses, and diffusing responsibility. (Lagacé & Gandhi, 2015)

Political Institutionalization (Huntington, 1965)

Measured via: Adaptability · Complexity · Autonomy · Coherence. Institutionalization stabilizes China's politico-economic system, entrenching the CCP as the monopoly of political power.

China's Banking Sector: Scale, Structure & Stress

97%

of total financial system assets held by banks (2018)

Big 6

SOCBs: ICBC · CCB · BOC · ABC ·
BOCOM · PSBC

6.3×

Big Five pretax profit growth, 2005–2016
(CAGR 19.8%)

2008 Stimulus Shock

RMB 4 trillion package directed through SOCBs to SOEs and LGFVs — crowding out private credit, fueling shadow banking, and creating hidden local government debt. (Chang et al., 2016; He & Wei, 2023)

Housing Market Exposure

~55 trillion RMB property-related banking exposure in 2016 (25% of assets). The Three Red Lines policy (2020) marked end of overheating — with spillover to LGFV finances and household wealth. (Liu & Xiong, 2018)

Three Channels Through Which the Party Encroaches on Banking

01

Regulatory Control

- ▶ Dual party-government: CFEAC → CFC → CFWC (party line)
- ▶ PBoC · NFRA · MOF · CSRC (government line)
- ▶ Party directives override technocratic autonomy

02

Ownership Control

- ▶ Central Huijin: controlling stakes in Big Six SOCBs
- ▶ MOF: direct equity + 100% ownership of policy banks
- ▶ CDB de facto state-owned despite mixed appearance

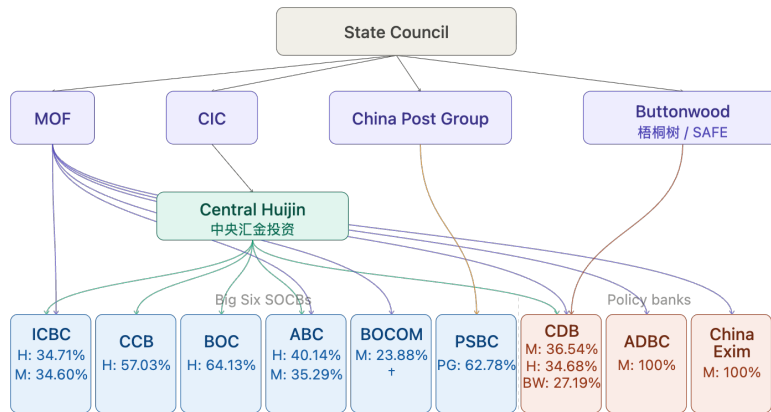
03

Personnel Control

- ▶ CCP Org. Dept. appoints all senior banking executives
- ▶ Nomenklatura system: party membership prerequisite
- ▶ Rotation system aligns incentives with party objectives

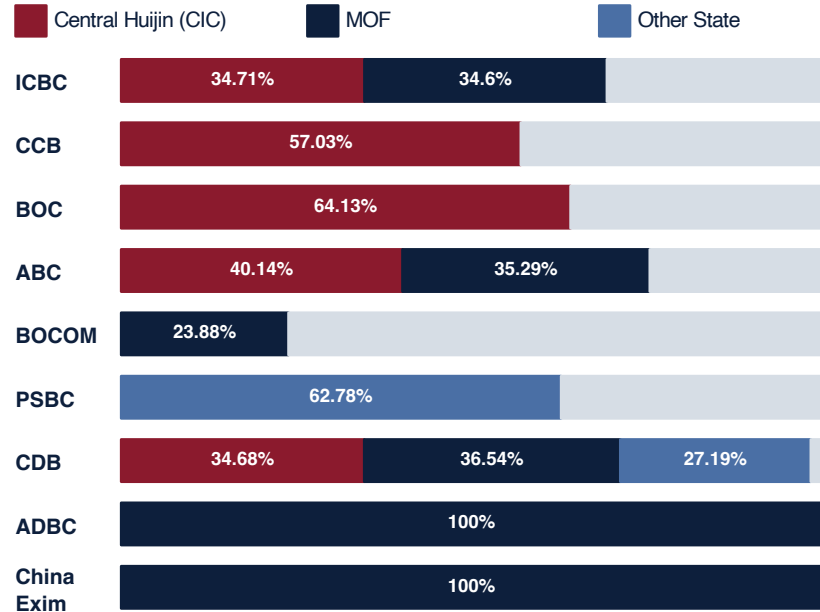
Ownership Control: Exercising Corporate Governance

MATRIX OF OWNERSHIP



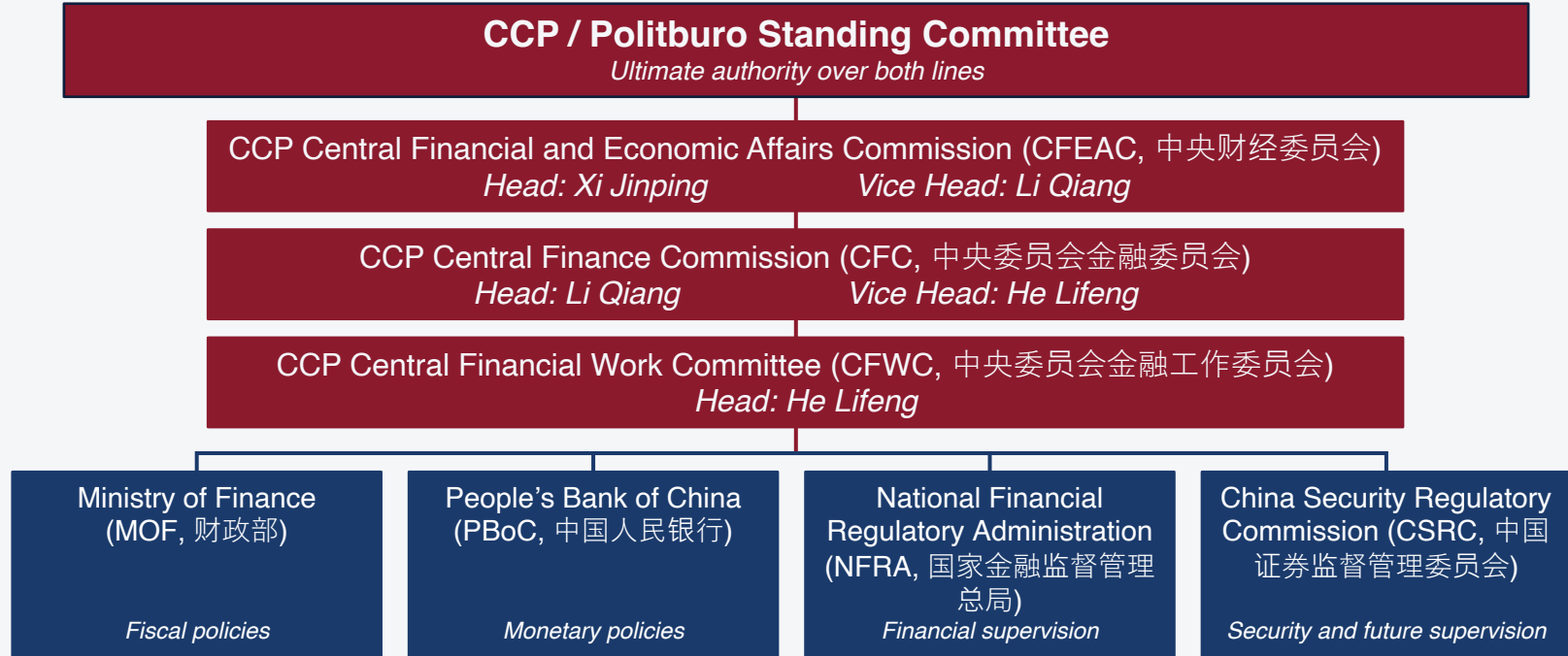
■ H = Central Huijin ■ M = MOF ■ PG = China Post Group ■ BW = Buttonwood / SAFE
 † BOCOM: NSSF holds 16.39%, HSBC (foreign) holds 19.03% — state-affiliated bloc retains effective control.
 Voting-right stakes from Q1 2025 quarterly reports. Blue = SOCB. Coral = policy bank.
 CIC (sovereign wealth fund) owns Central Huijin, which serves as primary SOCB shareholder. ADBC and Exim: MOF

SHARE OF STATE SHAREHOLDING



Note: PSBC 'Other State' = China Post Group Corp. (state-owned). CDB 'Other State' = Buttonwood / SAFE.

Regulatory Control: Dual Structure of Party Line and State Line



Personnel Control: The Party's Deepest Reach into Banking

"Personnel control is the most direct channel — bypassing rule-based regulations and ownership to emphasize loyalty to the party-state."

Nomenklatura System

CCP Organization Department holds final authority over appointment and promotion of all senior executives across the banking sector. Party membership is a prerequisite for senior positions.

Political Rank Alignment

Bank chairmen hold deputy-ministerial or ministerial ranks. Zhang Qingsong chairs both CIC and Central Huijin — eliminating the principal-agent separation between holding vehicles.

Rotation System

Executives rotate between regulatory agencies, policy banks, and commercial banks on party-set cycles. Pan Gongsheng: VP of ABC → Director of SAFE → Governor of PBoC.

Functions (Lagacé & Gandhi, 2015): Information Gathering · Co-optation · Solves Principal-Agent Problem

Three Power Dynamics: Tensions That Are Equilibria, Not Failures

STATE vs MARKET

Pearson, Rithmire & Tsai (2021)

Political credit allocation vs. efficient markets. The 2008 RMB 4 trillion stimulus exemplified this: SOCBs lent to SOEs and LGFVs despite capital inefficiency, crowding private firms from credit.

INTRA-MARKET

Sun (2020); He & Wei (2023)

Structural asymmetry: Big Six SOCB dominance dwarfs joint-stock and private banks. Private firms face systematic credit disadvantage versus SOEs. Market competition is structurally distorted.

INTRA-STATE

Nathan (2003); Fewsmith & Nathan (2019)

Fragmented, layered institutions create friction. Technocrats in PBoC/NFRA vs. career politicians advancing via nomenklatura or Communist Youth League (Tuanpai) factions.

These tensions are not systemic failures but equilibrium outcomes. The CCP retains ultimate authority by maintaining these partial conflicts. (Pepinsky, 2014)

What This Research Adds — and Where It Opens New Questions

THEORETICAL CONTRIBUTION

1. Extends Chinese party-state capitalism theory into the banking sector through an institutionalist lens.
2. Synthesizes three controlling channels (regulatory, ownership, personnel) as an integrated analytical framework.
3. Frames tensions not as policy failures but as equilibria — consistent with authoritarian resilience scholarship.
4. Addresses the literature gap on how CCP institutions are constructed, not merely described.

OPEN QUESTIONS FOR DISCUSSION

- ? How does Xi's centralization affect technocratic capacity and monetary policy effectiveness?
- ? Is the Chinese party-state capitalism equilibrium stable post-property market correction?
- ? What are comparative lessons for other authoritarian developmental states (e.g., Vietnam)?

The CCP Controls Both the Gun and the Bank Vault

The party-state extends absolute control over China's banking sector through three complementary channels — regulatory, ownership, and personnel control — each institutionalized within the contemporary Chinese party-state capitalism model.

Channels → Regulatory · Ownership · Personnel control — integrated, not isolated.

Tensions → State/market, intra-market, intra-state frictions are equilibria, not failures.

Implication → As long as current institutional arrangements hold, the CCP retains absolute authority over the financial system.

"Finance is the lifeblood of the modern economy, and financial security is an important part of national security." — Xi Jinping (2023) CFWC

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